

the prices are stable and there is an upward trend.

That's not all. Deb is confident about demand too. With the government's Rs. 7.5 lakh crore capital expenditure plan underway, NMDC chairman believes that iron ore is linked to steel demand, which, in turn, is linked to GDP that is projected to grow at 7%.

With recession fears looming large in the US and China slowing down due to the real estate crisis, production cuts could help Indian manufacturers, stressed Deb.

Deb acknowledges the fact that NMDC's growth has plateaued. Initially, it was a great run for the organization during the post-Covid commodity super cycle clocking a consolidated net profit of Rs. 3186 crore in Q1 FY22, rising six times from Rs. 531 crore in Q1 FY21.

Deb's milestones speak volumes about his cumulative experience covering a wide spectrum of departmental responsibilities. After graduating in mechanical engineering from Orissa University of Agriculture and Technology, his 3-decade journey inspires every industrialist. Bearing testimony to this are the several accolades that he has earned, including the Business Leader of the Year Award 2021 (PSU Sector) from World CSR Congress. Deb has set his eyes on steering this largest iron ore producer of India to greater heights. And he is sure to tide over challenging times too.

Profitability and Growth

Crossing the 42 million tonne milestone, NMDC also delivered the company's best ever annual financial results in FY22. During that fiscal, NMDC paid the highest ever dividend of Rs. 14.74 per share which works out to a 46% payout against an EPS of Rs. 32.07. The CMD said that NMDC has achieved record-breaking growth in FY22 on the back of a propelling expansion and investment strategy, and the company is entering the new fiscal with a valuable head start.

To improve profitability, NMDC's investments have focused on expanding mining capacity, beneficiation facilities and laying slurry pipelines. The slurry pipeline from Bailadila to Visakhapatnam is slated to be completed by 2024 with a total investment of Rs. 6,000 crore. This is done with an intention to reduce NMDC's dependence on railways.

The corporation currently operates a 1.2 MTPA mine-head pellet plant at Donimalai and a 2 MTPA pellet plant at Nagarnar is under construction. A 3 MTPA integrated steel plant at Nagarnar is at an advanced stage of construction and is likely to be commissioned shortly.

The goal now is set - better FY22 numbers with a 10% increase in annual production. This means FY23 will see 46-47 million tonnes (mt). In FY22, NMDC earned a revenue of Rs. 25,882 crore, a 68% increase year on year. PAT has also grown 50% to reach Rs. 9,398 crore. NMDC is hot-rolling towards a 100 MnT mining capacity by 2030.

Incorporated in 1958 as a Government of India public enterprise, NMDC has been involved in the exploration of a wide range of minerals including copper, rock phosphate, limestone, magnesite, diamond, tungsten and beach sands amongst others in some of the most remote corners of the country. NMDC's strength lies in exploration and mining of iron ore for the country. Leveraging the Australian subsidiary, Legacy, with 21 mining tenements, NMDC is keen to tap the export markets for low grade iron-ore. This low-cost producer of iron ore also operates the only mechanized diamond mine in India at Panna, Madhya Pradesh.

The Mining Major has recently obtained a mining lease to start gold mining operations at Chigargunta-Bisanatham Gold Mine Block in Chittoor, Andhra Pradesh. NMDC's venture into coal with Tokisud North and Rohne Coal

